

ELIZABETH II



1970 CHAPTER xxii

An Act to confer powers upon the lord mayor, aldermen and citizens of the city of Birmingham with regard to finance and local government; and for other purposes. [29th May 1970]

WHEREAS—

(1) The city of Birmingham (in this Act called “the city”) is a county borough under the management and local government of the lord mayor, aldermen and citizens of the city (in this Act called “the Corporation”):

(2) It is expedient to make further and better provision with respect to the local government of the city and the finances of the Corporation:

(3) It is expedient that the other provisions contained in this Act be enacted:

(4) The purposes of this Act cannot be effected without the authority of Parliament:

(5) In relation to the promotion of the Bill for this Act the requirements of Part XIII of the Local Government Act 1933 1933 c. 51. have been observed:

May it therefore please Your Majesty that it may be enacted and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

PRELIMINARY

Short and
collective
titles.

1.—(1) This Act may be cited as the Birmingham Corporation Act 1970.

(2) The Birmingham Corporation Acts 1876 to 1968 and this Act may be cited jointly as the Birmingham Corporation Acts 1876 to 1970.

Division of
Act into
Parts.

2. This Act is divided into Parts as follows:—

Part I.—Preliminary.

Part II.—Finance and superannuation.

Part III.—Miscellaneous and general.

Interpretation.

3.—(1) In this Act the following expressions have the meanings hereby respectively assigned to them:—

1933 c. 51.

“ the Act of 1933 ” means the Local Government Act 1933;

1936 c. 49.

“ the Act of 1936 ” means the Public Health Act 1936;

1937 c. 68.

“ the Act of 1937 ” means the Local Government Superannuation Act 1937;

1961 c. 62.

“ the Act of 1961 ” means the Trustee Investments Act 1961;

“ the city ” means the city of Birmingham;

“ the Corporation ” means the lord mayor, aldermen and citizens of the city;

“ the council ” means the council of the city;

“ enactment ” means any enactment, whether public general or local, and includes any order, byelaw, rule, regulation, scheme or other instrument having effect by virtue of an enactment;

“ financial year ” means a period of twelve months ending on 31st March;

“ general rate fund ” means the general rate fund of the city;

“ gross rate income ” means the gross rate income as used in the determination of the product of a rate of one penny in the pound under rules made pursuant to section 113 of the General Rate Act 1967;

PART I
—cont.

1967 c. 9.

“ the Minister ” means the Minister of Housing and Local Government;

“ revenues ” has the same meaning as in section 218 of the Act of 1933;

“ signature ” includes a facsimile of a signature by whatever process reproduced;

“ the superannuation fund ” means the superannuation fund maintained by the Corporation under Part I of the Act of 1937.

(2) Any reference in this Act to an enactment shall be construed as a reference to that enactment as applied, extended, amended or varied by, or by virtue of, any enactment including this Act.

PART II

FINANCE AND SUPERANNUATION

4.—(1) The Corporation may borrow—

Power to
borrow.

(a) such sums as may be necessary for any of the purposes of this Act;

(b) without the consent of any sanctioning authority, such sums as may be necessary for paying the costs, charges and expenses of this Act;

and, subject to the provisions of this section, Part IX of the Act of 1933 shall have effect as if money borrowed under this section were borrowed under that Part.

(2) The Corporation shall repay sums borrowed under paragraph (b) of the foregoing subsection within five years from the date of borrowing.

(3) It shall not be lawful to exercise the powers of borrowing conferred by paragraph (a) of subsection (1) of this section except in compliance with any order for the time being in force under section 1 of the Borrowing (Control and Guarantees) Act 1946.

1946 c. 58.

5.—(1) In addition to the modes of borrowing prescribed by the Act of 1933 or any local enactment in force in the city, the Corporation may raise money—

Power to
raise money
by bills

(a) for any purpose for which the Corporation are authorised to borrow;

PART II
—cont.

- (b) in anticipation of the receipt of revenues, for any purpose for which the revenues of the Corporation may properly be applied;

by means of bills (to be called “ Birmingham Corporation bills ”, in this section referred to collectively as “ bills ” and separately as a “ bill ”) subject to, and in accordance with, the following provisions:—

- (i) A bill shall be in the form prescribed by regulations made under this section and shall be for the payment of the sum named therein in the manner and at the date therein mentioned, being a date not more than twelve months from the date of the bill:
- (ii) A bill shall entitle the holder thereof to payment at maturity of the sum expressed in the bill to be payable:
- (iii) Bills may be offered for purchase (whether by tender or otherwise) in such manner and on such conditions as the Corporation may determine:
- (iv) Bills shall be issued under the authority of a resolution passed by the council, and shall bear the signature of the treasurer of the city or of some other person authorised by the Corporation:
- (v) The Corporation may make regulations providing for—
 - (A) the preparation, form, mode of issue, payment and cancellation of bills;
 - (B) the issue of new bills in lieu of bills defaced, lost or destroyed;
 - (C) the prevention, by the use of counterfoils or of a special description of paper or otherwise, of fraud in relation to bills; and
 - (D) the giving of a proper discharge on the payment of a bill:
- (vi) The amount of money received in respect of a bill shall be deemed to be principal money raised by means of the bill and the difference between the amount payable in respect of a bill and the amount received in respect thereof shall be deemed to be interest on the principal money so raised:
- (vii) The aggregate amount payable on bills current at any one time shall not (except by the amount payable on bills issued shortly before any other bills fall due in order to pay off the last-mentioned bills) exceed—
 - (A) the sum of ten million pounds; or

(B) one-fifth of the amount of the estimated gross rate income of the city during the then current financial year;

PART II
—cont.

whichever is the greater:

(viii) Subject to the provisions of the last preceding paragraph, the Corporation may renew a bill at maturity:

(ix) The Corporation may borrow for the purpose of repaying the principal money raised by bills but except as aforesaid any power of the Corporation to borrow shall be suspended to the extent of the amount which has been raised for capital purposes by the issue of bills.

(2) Section 143 (Provisions as to raising money by bills) of the Birmingham Corporation Act 1903 and the Local Government Board's Provisional Orders Confirmation (No. 5) Act 1915 in so far as it relates to the city are hereby repealed.

6.—(1) In addition to any other method by which the Corporation may raise any money which they are authorised to borrow, they may, with the consent of the Treasury and subject to such conditions as the Treasury may impose, raise the money by means of the issue of bearer bonds or other securities to bearer. Power to raise money by bearer bonds.

(2) Section 61 (Power to borrow by issue of bonds) of the Birmingham Corporation (General Powers) Act 1929 and Schedule 2 (Birmingham Corporation Bonds) to that Act are hereby repealed.

7.—(1) Any method by which the Corporation are empowered by any enactment to raise any money which they are authorised to borrow shall, notwithstanding anything in such enactment, be deemed to include the raising of money by that method outside the United Kingdom or in any foreign currency. Power to raise money abroad.

(2) The powers conferred by the foregoing subsection shall not be exercised except with the consent of the Treasury, and subject to such conditions as the Treasury may impose.

(3) The enactments empowering the Corporation to raise money shall have effect in relation to a transaction authorised by this section for the raising of money in a foreign currency as if for any reference in those enactments to sterling there were substituted a reference to the foreign currency and for any reference therein to a sum expressed in terms of sterling there were substituted a reference to the sum expressed in terms of the foreign currency (adjusted, where necessary, to produce an amount which the Corporation consider appropriate having regard to all the circumstances of the transaction).

PART II

—cont.

1946 c. 58.

General
insurance
fund.

(4) Nothing in this section shall be taken as exempting the Corporation from the provisions of any order under section 1 of the Borrowing (Control and Guarantees) Act 1946.

8.—(1) The Corporation may establish a fund (to be called “the insurance fund”) with a view to providing a sum of money which shall be available for making good all such losses, damages, costs and expenses as may from time to time be specified in a resolution of the council (in this section referred to as “the specified risks”).

(2) The establishment of the insurance fund shall not prevent the Corporation from insuring in one or more insurance offices against the whole or any part of any of the specified risks.

(3) When the insurance fund shall amount to the prescribed amount as hereinafter defined the Corporation shall discontinue the appropriations to the fund under subsection (4) of this section but if the insurance fund is at any time reduced below the prescribed amount the Corporation shall recommence and continue such appropriations until the fund be restored to the prescribed amount and if at any time the Corporation reduce the prescribed amount so that there are more moneys in the insurance fund than the sum so prescribed, such moneys shall be transferred to the general rate fund, and any moneys so transferred to the general rate fund shall be apportioned between the several accounts of that fund in such proportions as the Corporation consider equitable.

(4) The Corporation may from time to time appropriate to the insurance fund such sums as they think fit from the revenue of the general rate fund and shall show the same in their accounts under the separate heading or division in respect of the particular undertaking, department or service of the Corporation which if the specified risks were insured against in an insurance office would be properly chargeable with the payment of the premium of such insurance:

Provided that any payments shown in the accounts in respect of the housing revenue account shall not exceed the proportion of the total yearly payments which in the opinion of the Corporation properly relates to the specified risks arising from the purposes for which that account is kept.

(5) (a) Except so far as the insurance fund and the proceeds of sale of securities in which that fund is invested may be necessary to meet losses, damages, costs and expenses in respect of the specified risks, all moneys for the time being standing to the credit of the insurance fund shall (unless applied in any other manner authorised by any enactment) be invested in statutory

securities, and the interest and other annual proceeds received by the Corporation in respect of such investments shall be carried to the general rate fund.

(b) The Corporation shall in every financial year, so long as the insurance fund is less than the prescribed amount, carry to the credit of that fund out of the revenue moneys of the general rate fund an amount equal to the interest and other annual proceeds carried to the general rate fund in pursuance of the last foregoing paragraph.

(c) If and so long as the insurance fund amounts to the prescribed amount the interest and other annual proceeds received by the Corporation in respect of or on investments forming part of the insurance fund and carried to the general rate fund may be apportioned in the accounts of the Corporation between the several undertakings, departments or services liable to contribute to the insurance fund in such shares or proportions as may be equitable.

(6) For the purposes of this section the Corporation may, if they deem it expedient, include, in the specified risks, risks of accident to any teacher, caretaker or other person employed in any voluntary school maintained by the Corporation as local education authority.

(7) (a) The insurance fund shall be applied to meet any losses, damages, costs or expenses sustained by the Corporation in respect of the specified risks in the order of the dates on which such losses, damages, costs or expenses become ascertained, and if at any time and from time to time the insurance fund shall be insufficient to make good any such losses, damages, costs or expenses, the Corporation may, with the sanction of the Minister, borrow at interest under and subject to the provisions of Part IX of the Act of 1933 such sums of money as will be necessary to make up the deficiency.

(b) The amounts of the annual charges in respect of interest on and repayment of principal of any sums so borrowed and the amounts of any such deficiencies as aforesaid not made up by borrowing shall be paid out of the general rate fund and charged in the accounts of the Corporation under the separate headings or divisions in respect of such undertakings, departments or services of the Corporation, and in such proportions as the Corporation may determine having regard to the risks through which such deficiencies arise.

(8) If and when the Corporation establish an insurance fund under this section and include in the specified risks the risks referred to in section 50 (Employers' liability fund) of the Birmingham Corporation Act 1954, any moneys standing to the 1954 c. xlv.

PART II
—cont.

credit of the employers' liability fund provided by the Corporation under the said section 50 shall be carried to and form part of the insurance fund established under this section.

(9) Any covenant or obligation binding on the Corporation to insure against any risk shall (except in so far as the terms of such covenant or obligation otherwise specifically provide) be deemed to be satisfied by a resolution of the council under subsection (1) of this section if that risk is one of the specified risks.

(10) In this section—

“insurance office” means—

- (i) an insurance company; or
- (ii) an underwriter being a member of an association of underwriters;

“prescribed amount” means such sum as may from time to time be prescribed by the council; and

“statutory securities” means any securities in which trustees are for the time being authorised by law to invest trust moneys or in which the Corporation are authorised to invest moneys forming part of the superannuation fund.

Extension of
power to
invest
super-
annuation
fund moneys.

9.—(1) In its application to the investment by the Corporation under subsection (3) of section 21 of the Act of 1937 of any moneys forming part of, but not for the time being required to meet payments out of, the superannuation fund, the Act of 1961 shall have effect as if—

(a) in Part II (Narrower-Range Investments Requiring Advice) of Schedule 1 to that Act—

(i) for paragraphs 3, 4 and 6 thereof there were substituted the following paragraphs:—

“3. In fixed-interest securities issued by any public, municipal or local authority, or any publicly controlled or nationalised industry or undertaking, whether established within or outside the United Kingdom.”

“4. In fixed-interest securities issued by the government of any territory outside the United Kingdom.”

“6. In debentures issued by a company incorporated in the United Kingdom or established under the law of any territory outside the United Kingdom.”;

(ii) in paragraph 9 thereof, the words “in the United Kingdom”, where first occurring, were omitted and the following sub-paragraph were added at the end of that paragraph:—

“(g) any public, municipal or local authority established outside the United Kingdom.”;

(b) in Part III (Wider-Range Investments) of the said Schedule—

(i) in paragraph 1 for the words “and not being securities falling within Part II of this Schedule” there were substituted the words “or in any securities issued by a company established under the law of any territory outside the United Kingdom, and not being in either case securities falling within Part II of this Schedule”;

(ii) in paragraph 3 there were added at the end the words “or in any units or other shares of a property unit trust.”;

(c) in Part IV (Supplemental) of the said Schedule—

(i) paragraphs 1 and 3 were omitted;

(ii) for paragraph 2 there were substituted the following paragraph:—

“2. (a) Not more than one tenth of the value of all the investments made at any one time in the manner specified in paragraph 1 of Part III of this Schedule shall be represented by securities the price of which is not quoted on a recognised stock exchange or quoted on a recognised security market;

(b) For the purpose of this paragraph the value of any investment shall be deemed to be the value of the investment at the time at which it was made”;

(iii) in paragraph 4 after the definition of “ordinary deposits” and “special investment” there were inserted the following definitions:—

“quoted on a recognised security market” in its application to securities not registered in the United Kingdom means that the security has been granted an official quotation or is listed on a recognised security market or that dealing prices on such a market in respect of that security are published not less frequently than once a week;

“recognised stock exchange” in its application to the United Kingdom means any body of persons

PART II
—cont.

1958 c. 45.

which is for the time being a recognised stock exchange for the purposes of the Prevention of Fraud (Investments) Act 1958 or the Belfast Stock Exchange;

“ recognised security market ” in its application to securities not registered in the United Kingdom means a stock exchange, an association of stock and share dealers or an over-the-counter market recognised as a market or association in which dealings in the country concerned normally take place.

(2) Notwithstanding anything in the Act of 1961, the Corporation may invest any property of the superannuation fund in any manner specified in Part III of Schedule 1 to the Act of 1961, as amended by this section, and may also from time to time vary any such investments:

Provided that no such property as aforesaid shall be so invested at any time when the value of all the investments made in the manner specified in the said Part III as so amended equals or exceeds three-quarters of the total value of the superannuation fund.

(3) For the purposes of the last foregoing subsection the value of any investment shall be deemed to be the value of the investment at the time at which it was made.

(4) In this section “ property ” has the same meaning as it has for the purposes of the Act of 1961.

Investment
of super-
annuation
fund in
acquisition,
etc., of land.

10.—(1) Subject to the provisions of this section, the powers exercisable by the Corporation under the Act of 1961 to invest any property of the superannuation fund in any manner specified in Part III of Schedule 1 to that Act, as amended by this Act, shall include power to invest such property in such manner as they think fit (and whether alone or in association with any other person) in the acquisition, development or management of land situated in the United Kingdom and used or to be used for residential, commercial or industrial purposes, but Part IV of Schedule 1 to the Act of 1961 shall not apply to any investment made under this subsection.

(2) So long as the value of the investments of property for the time being made under the powers conferred by the foregoing subsection is equal to or greater than one-quarter of the total value of the superannuation fund, no further investment may be made thereunder.

(3) For the purposes of the last foregoing subsection, the value of any investment shall be deemed to be the value of the investment at the time at which it was made.

PART II
—cont.

(4) Subsections (2) to (7) of section 6 of the Act of 1961 shall apply in relation to the exercise of the powers of investment conferred by subsection (1) of this section as they apply in relation to the exercise by the Corporation of the powers conferred by section 1 of that Act to invest any property of the superannuation fund in a manner specified in Part III of Schedule 1 to that Act as amended by this Act.

(5) In this section “property” has the same meaning as it has for the purposes of the Act of 1961.

11. The provisions of the last two foregoing sections shall have effect notwithstanding anything in subsection (3) of section 21 of the Act of 1937.

Section 21 (3) of Act of 1937 not to limit foregoing powers.

12. Nothing in this Act shall be taken as exempting the Corporation from the provisions of the Exchange Control Act 1947.

Saving for provisions of Exchange Control Act 1947.
1947 c. 14.

PART III

MISCELLANEOUS AND GENERAL

13.—(1) The Corporation may within or outside the city provide a golf course, and for that purpose may provide such buildings, and execute such works, as may be necessary or expedient.

Golf courses.

(2) References in the following provisions of this section to a golf course provided or deemed to be provided under this section shall include references to any buildings provided, or works executed, under the foregoing subsection, and to anything with which any such golf course or building is equipped by virtue of section 271 of the Act of 1936 as applied by this Act.

(3) The Corporation may either—

(a) themselves manage a golf course provided or deemed to be provided under this section, making such reasonable charges for the use thereof, or admission thereto, as they think fit; or

(b) let it, or any part thereof, for such consideration, and on such terms and conditions, as they think fit.

(4) The Corporation may—

(a) at a golf course provided or deemed to be provided under this section, provide and sell refreshments of all kinds, subject to the provisions of all enactments relating thereto;

PART III
—cont.

- (b) enter into any agreement or arrangement for the provision and sale of refreshments as aforesaid;
- (c) grant, upon such terms and conditions, and for such period, as they think fit, the right so to provide and sell refreshments;
- (d) by themselves, or any person appointed by them in that behalf, apply for, and hold, licences for the sale of intoxicating liquor at any such golf course.

(5) The Corporation may make byelaws for regulating the use of golf courses provided or deemed to be provided under this section, whether within or outside the city, and the conduct of persons using them or resorting thereto.

(6) As respects byelaws made under this section the confirming authority for the purpose of section 250 of the Act of 1933 shall be the Secretary of State.

(7) For the purposes of this section any golf course provided by the Corporation before the passing of this Act shall be deemed to have been provided under this section.

Airport
police.

14.—(1) The Corporation may appoint persons to be constables in accordance with this section.

(2) Every constable appointed under this section shall on appointment be attested as a constable by making a declaration before a justice of the peace that he will duly execute the office of a constable; and when he has made such a declaration he shall, while his appointment continues, have the powers and privileges and be liable to the duties and responsibilities of a constable—

- (a) in the Corporation's airport; and
- (b) elsewhere for the purpose of arresting any person whom he has followed from the said airport in circumstances in which he could have arrested that person in the said airport.

(3) The constabulary maintained under this section shall be under the exclusive control of the Corporation and the Corporation shall have power to suspend or terminate the appointment of any of its constables.

(4) The Corporation shall be liable in respect of torts committed by members of that constabulary in the performance or purported performance of their functions in like manner as a master is liable in respect of torts committed by his servants in the course of their employment, and accordingly shall, in respect of any such tort be treated for all purposes as a joint tortfeasor.

(5) Every constable appointed under this section shall be exempt from serving on any jury while his appointment continues.

15.—(1) Section 3 (Power to provide and use exhibition hall) of the Birmingham Corporation Act 1959 shall have effect as if for the words “in the city” there were substituted the words “within or outside the city”.

PART III
—cont.

Extension of
power to
provide and
use
exhibition
hall.

1959 c. xxii.

(2) The Corporation may enter into agreements with any person with respect to the construction, maintenance and conduct of the exhibition hall within the meaning of subsection (1) of the said section 3 as extended by subsection (1) of this section.

16.—(1) The Corporation may, by agreement with any local authority or any other body or person, use or permit that local authority or that other body or person to use for the purposes of that local authority or that other body or person any electronic or mechanical accounting equipment which the Corporation have provided for the purposes of all or any of their accounting work, and they may make such charges as may be agreed for the use of the said equipment.

Electronic or
mechanical
accounting
equipment.

(2) In this section the expression “local authority” means the council of a county, county borough or county district.

17. The following sections of the Act of 1936 shall have effect as if references therein to that Act included a reference to this Act:—

Application
of provisions
of Act of
1936.

Section 271 (Interpretation of “provide”);

Section 304 (Judges and justices not to be disqualified by liability to rates); and

Section 328 (Powers of Act to be cumulative).

18. The following provisions of the Birmingham Corporation (Consolidation) Act 1883 so far as they are applicable in that behalf shall, with any necessary modifications, extend and apply to the exercise of the powers of this Act in the same manner as if those provisions were re-enacted in this Act, namely:—

Application of
existing
enactments.
1883 c. lxx.

Section 8 (Power to appoint committees); and

Section 9 (Proceedings of committees).

19. The costs, charges and expenses preliminary to and of and incidental to the preparing, applying for, obtaining and passing of this Act, shall be paid by the Corporation.

Costs of Act.

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Birmingham Corporation Act 1970

CHAPTER xxii

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